The foreign exchange market abets the foreign exchange trading. It is the largest, most liquid market in the world with an average traded value of more than $5 trillion per day. It includes all of the currencies in the world and any individual, company or country can participate in it.

I. Commodity Market

The commodity market manages the trading in primary products which takes place in about 50 major commodity markets where financial transactions increasingly outstrip physical purchases which are to be delivered. Commodities are commonly classified in two subgroups.

- **Hard Commodities Market**
- **Soft Commodities Market**



Hard commodities are raw materials typically mined, such as gold, oil, rubber, iron, and ore.

Soft commodities are typically grown agricultural primary products such as wheat, cotton, coffee, and sugar.

II. Derivatives Market



Derivatives market facilitates the trading in financial instruments such as futures contracts and options used to help control financial risk. The instruments derive their value mostly from the value of an underlying asset that can come in many forms – stocks, bonds, commodities, currencies or mortgages.



Gilt-Edged Market also known as Government Securities market is the market for Government and semi-Government securities. An important feature of the securities traded in this market is that they are stable in value and are much sought after by banks.

- Guaranteed return on investments
- No speculation in securities
- Institutional based investors which are compelled by law to invest a portion of their funds in these securities.
- Predominated by such institutions as LIC, GIC, PFs and the commercial banks
- Heavy volume of transactions necessitating negotiation of each transaction

Exercise

T8R9E

I. Choose the Correct Answers:

1. Capital market do not provide

a) Short term Funds
b) Debenture Funds
c) Equity Funds
d) Long term Funds

2. When the NSEI was established

a) 1990 b) 1992
c) 1998 d) 1997

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